

TABLE 10.3 Orange, Inc. Summary Financial Statements, Statistics, and Ratios

Summary Balance Sheet	
Net Cash and Equivalents	\$150 million
Other Assets	\$50 million
Total Assets	\$225 million
Summary Income Statement	
Gross Profit	\$70 million
EBIT	\$50 million
Net Income	\$37 million
Other Statistics and Ratios	
Market Capitalization	\$500 million
Enterprise Value	\$350 million
Price-to-Earnings Ratio	14×
Earnings Yield	7.4%
Enterprise Multiple	7×
Gross Profit on Assets	93%
Long Bond Rate	3%

free cash flow). On the balance sheet it carries \$150 million in net cash and equivalents. Let's also say that the long bond earns 3 percent. Table 10.3 summarizes the financial statements, statistics, and ratios for Orange, Inc.

The price-to-earnings ratio of this company is 14 ($\$500 \text{ million} \div \37 million). This equates to an earnings yield of 7.4 percent ($\$37 \text{ million} \div \500 million), which is inexpensive given that it is more than twice the return available for long bond offers at 3 percent, albeit without taking on the peculiar risks of this company and its business. Its gross profit on total assets is a little over 31 percent ($\$37 \text{ million} \div \225 million , where the \$225 million comprises \$150 million in net cash and equivalents and \$75 million in other assets), which is excellent, again because it is more than 10 times the return available in the long bond. It is even more interesting on an enterprise multiple basis. It trades on an enterprise multiple of seven ($\$350 \text{ million} \div \50 million). Given the very high proportion of cash on the balance sheet and the excellent cash flow generation, the company can comfortably return most or all of the cash to the shareholders.

Einhorn notes that to figure out how much value this would unlock, we have to guess how much credit the market already gives the company for its cash. If the market gives it no credit, and it does the restructuring through a return of all its cash, then the cash returned is found value, which means the dividend would unlock the whole \$150 million. This might occur if the return on assets is boosted to more than 93 percent ($\$70 \text{ million} \div \75